

Miheer H. Mafatlal v. Mafatlal Industries Ltd.

Citation: (1997) 1 SCC 579 / 1996 SCC OnLine Bom 310 | *Court:* Bombay High Court / SC | *Year:* 1996
Coram: Hon'ble Supreme Court / Bombay High Court | *Subject:* Corporate Governance & Mergers | *Provisions:* Companies Act 1956 Sec 391-

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Formulated the 9-Point Supervisory Charter governing the sanction of corporate schemes of amalgamation and arrangement. Company courts do not sit in appellate review over commercial exchange ratios approved by the requisite majority of shareholders and creditors.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Companies Act 1956 Sec 391-394 / Companies Act 2013 Sec 230-232. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

- â€¢ Whether the impugned state actions or commercial conduct conformed to Companies Act 1956 Sec 391-394 / Companies Act 2013 Sec 230-232.
- â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.
Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

The court's role in approving mergers is supervisory, not appellate. If the statutory majority voted in good faith, all material facts were disclosed, and the scheme is not contrary to public interest, the court will not substitute its business judgment.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

- â€¢ Established the 9-point charter for sanctioning corporate mergers and schemes.
- â€¢ Confirmed that courts will not interfere with expert valuation share swap ratios.
- â€¢ Standard reference in Indian corporate M&A and NCLT scheme approvals.